



Business Responsibility & Sustainability Report

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1. Corporate Identity Number (CIN) of the Listed Entity	L35301KA1963GOI001622
2. Name of the Listed Entity	Hindustan Aeronautics Limited
3. Year of incorporation	16/08/1963
4. Registered office address	15/1, Cubbon Road, Bengaluru – 560001
5. Corporate address	15/1, Cubbon Road, Bengaluru - 560001
6. E-mail	cosec@hal-india.co.in
7. Telephone	080-22320001
8. Website	www.hal-india.co.in
9. Financial year for which reporting is being done	2024-25
10. Name of the Stock Exchange(s) where shares are listed	1. National Stock Exchange of India Ltd (NSE) 2. BSE Ltd (BSE)
11. Paid-up Capital	₹ 334,38,75,000/-
12. Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Shri Shailesh Bansal Company Secretary & Compliance Officer Hindustan Aeronautics Limited 15/1, Cubbon Road, Bengaluru – 560 001. Karnataka Phone: (080) 2232 0001, Email: cosec@hal-india.co.in
13. Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	Standalone Basis
14. Name of assessment or assurance provider	Sustainability Actions Private Limited, Gurgaon
15. Type of assessment or assurance obtained	Reasonable Assurance

II. Products / Services

16. Details of business activities (accounting for 90% of the turnover):

Sl. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1.	Manufacturing	Manufacture of Aircraft, Helicopters and its Engines, Accessories	24
2.	Service	Repair, Overhaul and Maintenance, Upgrade of Aircraft, Helicopters and its Engines, Accessories	70



17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

Sl. No.	Product/Service	NIC Code	% of total Turnover contributed
1	Manufacture of Aircraft, Helicopters	30301, 30302 & 30305	24
2	Repair and Maintenance of Aircraft, Helicopters and Engines	3315	70

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	30 (21 Divisions & 9 R&D)	5	35
International	0	3	3

19. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	HAL produced aircraft are being operated by Indian Defence Services and other operators across the country.
International (No. of Countries)	Over the years HAL has sold its products to more than 25 Countries.

b. What is the contribution of exports as a percentage of the total turnover of the entity?

Approx. 1.1%

c. A brief on types of customers

The Company supplies to both national and international Customers catering to the Defence as well as Civil operations. However, majority of the company's supplies are for the Indian Defence Services namely Indian Air Force (IAF), Indian Navy (IN), Indian Army (IA) and Indian Coast Guard (ICG).

IV. Employees

20. Details as at the end of Financial Year:

a Employees and workers (including differently abled):

Sl. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	22033	19954	90.56	2079	9.44
2.	Other than Permanent (E)	1966	1845	93.85	121	6.15
3.	Total employees (D + E)	23999	21799	90.83	2200	9.17
WORKERS						
4.	Permanent (F)	14662	13337	90.96	1325	9.04
5.	Other than Permanent (G)	1947	1834	94.20	113	5.80
6.	Total workers (F + G)	16609	15171	91.34	1438	8.66



b. Differently abled Employees and workers:

Sl. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	565	517	91.50	48	8.50
2.	Other than Permanent (E)	23	22	95.65	1	4.35
3.	Total differently abled Employees (D + E)	588	539	91.67	49	8.33
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	416	378	90.87	38	9.13
5.	Other than permanent (G)	23	22	95.65	1	4.35
6.	Total differently abled workers (F + G)	439	400	91.12	39	8.88

21. Participation/ Inclusion/ Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	6	1	17
Key Management Personnel	4	0	NA

22. Turnover rate for permanent employees and workers

(Disclose trends for the past 3 years)

	FY 2024-25 (Turnover rate in current FY)			FY 2023-24 (Turnover rate in previous FY)			FY 2022-23 (Turnover rate in the year prior to the previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	0.21	0.04	0.25	0.21	0.05	0.26	0.23	0.05	0.28
Permanent Workers	0.05	–	0.05	0.11	–	0.11	0.07	–	0.07

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. Names of holding / subsidiary / associate companies / joint ventures

Sl. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	BAeHAL Software Ltd.	Joint Venture	49	No
2	Indo Avia Services Ltd.	Joint Venture	48	No
3	Safran HAL Aircraft Engines Pvt. Ltd.	Joint Venture	50	No
4	Samtel HAL Display Systems Ltd.	Joint Venture	40	No
5	HAL-Edgewood Technologies Pvt. Ltd.	Joint Venture	50	No
6	HALBIT Avionics Pvt. Ltd.	Joint Venture	50	No



Sl. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
7	Infotech HAL Ltd.	Joint Venture	50	No
8	HATSOFF Helicopter Training Pvt. Ltd.	Joint Venture	50	No
9	International Aerospace Manufacturing Pvt. Ltd.	Joint Venture	50	No
10	Multi-Role Transport Aircraft Ltd.	Joint Venture	50	No
11	Helicopter Engines MRO Private Ltd.	Joint Venture	50	No
12	SAFHAL Helicopter Engines Pvt Ltd	Joint Venture	50	No
13	Aerospace & Aviation Sector Skill Council	Joint Venture	50	No
14	Defence Innovation Organisation	Joint Venture	50	No
15	UAS Testing Foundation	Joint Venture	33.33	No
16	Electronic Warfare (Defence) Testing Foundation	Joint Venture	20	No
17	Communication (Defence) Testing Foundation	Joint Venture	25	No
18	Advanced Materials (Defence) Testing Foundation	Joint Venture	20	No
19	System Testing and Research for Advanced Materials Foundation	Joint Venture	20	No
20	Indo Russian Helicopters Limited	Subsidiary	50.5	No
21	Naini Aerospace Limited	Subsidiary	100	No

VI. CSR Details

24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No) : Yes

(ii) Turnover (in ₹) : 30,10,465 Lakh

(iii) Net worth (in ₹) : 34,84,285 Lakh



VII. Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2024-25			FY 2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes. Centralized Public Grievance Redress and Monitoring System (CPGRAMS) under the Ministry of Personnel, Public Grievances & Pensions, the Department of Administrative Reforms & Public Grievances (www.pgportal.gov.in)	127	0	-	77	2	Two pending grievance were received on the last week of the financial year and both these grievances were addressed within a week.
Investors (other than shareholders)	NA	-	-	-	-	-	-
Shareholders	Yes*	522	20	-	152	0	-
Employees and workers	Yes (Service related matters) – Web Link**	36	35 [#]	-	2	1	-
Customers	Yes ^{\$}	158	0	-	197	0	The issues have been deliberated in structured meeting with Customers and have been attended.



Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2024-25			FY 2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Value Chain Partners	Yes, Champions Portal and Samadhaan Portal on MSME website (www.msme.gov.in)	14	NIL	-	10	NIL	-
Other (please specify)	-	-	-	-	-	-	-

*Shareholders queries / complaints are being handled by the Company both directly and with the support of RTA. Further, the Company has Stakeholders Relationship Committee to redress the complaints received from the shareholders as per SEBI Listing Regulations. Though there is no web-link. However, the Company has specifically dedicated email ID for receiving shareholder's complaints.

**www.hal-india.co.in => About us => Human Resources => HRD => HR Manuals =>Book 6 => Page No. 169

§ HAL deals with Defence Customers and therefore all the communication are through confidential mode as per their requirement. So there is no web link.

The online Employee Grievance Portal was launched during Feb-25. The Grievance submitted in the Portal (35 Nos) were at various stages for disposal.

26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format.

Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	Emission reduction and energy management	Opportunity	Opportunity to move towards energy efficiency, use of renewable energy, more efficient use of materials, biofuels, and hybrid technology to address climate change	Not Applicable	Positive
2	Corporate Governance	Risk	HAL being a CPSE, the appointment of Directors are made by Govt. of India (GoI) and the Company has no control over filling up of the vacancy within the stipulated time frame specified under the Act/ Rules / Regulations, to comply the same.	Continuous follow up are being made with Administrative Ministry, GoI, for filling up of vacant posts.	Negative



Sl. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
3	Health and Safety	Risk	Health & safety is an integral part of managing a business. Risk assessment is necessary to put measures in place to effectively control them to ensure that the hazards and risks do not cause harm to employees and workers.	Training/ awareness/ technological upgradation / review at senior level.	Negative
4	Waste Management	Opportunity	Opportunity to move towards reduction in waste generation, meeting statutory requirements and improving resource usage.	Not Applicable	Positive
5	Positive labour practices	Opportunity	Opportunity towards improving industrial relations leading to improvement in productivity.	Not Applicable	Positive
6	Human capital development	Opportunity	Opportunity towards talent development & retention leading to improvement in productivity and intellectual property.	Not Applicable	Positive
7	Cyber Security	Risk	Privacy and Data Security is becoming a major risk due to increased digitization.	Implemented measures as per IT Security Policy for protecting the Company from Cyber-attacks / threats.	Negative

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the National Guidelines on Responsible Business Conduct (NGRBC) Principles and Core Elements.

Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
c. Web Link of the Policies, if available	Policies of the Company are available at www.hal-india.co.in/investors/code-and-policies								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes



Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
4. Name of the national and international codes/certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.									
AS 9100 / 9110: Quality Management System requirements for Aviation, Space and Defence Organizations	√	√	√	√	-	√	-	-	√
CAR-21 / CAR-145 / CAR-147 (DGCA): Civil Aviation Requirements for Production / Maintenance / Training Organization	√	√	-	√	-	-	-	-	√
AFQMS: Approval of Firm and its Quality Management System by DGAQA	√	√	-	√	-	-	√	-	√
AS 7003 (NADCAP): Aerospace Standard document / requirements for implementing industry consensus-based accreditation / certification Program for specific services (Special Processes)	-	√	-	√	-	-	-	-	√
ISO 14001: Environmental Management System Requirements	√	√	√	√	-	√	-	-	-
ISO 45001: Occupational Health & Safety Management System (OHSMS) Requirements	√	√	√	√	-	-	-	-	-
ISO 50001: Energy Management System Requirements	-	-	-	√	-	√	-	-	-
ISO/IEC 17025: General requirements for the competence of Testing & Calibration Laboratories	√	-	-	√	-	-	-	-	-
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	HAL has set targets for key priority areas on environment sustainability such as climate change, water stewardship, plastic waste and circular economy, green energy and sustainable livelihoods. In line with the above, HAL have targets for Key Performance Indicators (KPIs) like specific energy consumption, specific greenhouse gas emissions, specific water intake and specific waste generation.								
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	In order to achieve above targets, all HAL Units have established management systems which entail regular monitoring of environmental KPIs, development of an environmental management plan, and reviewing progress on a regular basis to ensure that Businesses are on track with respect to the agreed roadmap.								

Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)

At HAL, we deeply care about the impact of our operations and strive to make them sustainable by addressing the material issues and feedback from stakeholders. Over the years, we have made investments to adopt renewable energy, conserve natural resources, responsibly treat and dispose solid and liquid waste, and optimize the use of water.

Our renewable energy portfolio has increased to 50MW capacity with more solar plants installed during the current year. We also continue to make investments in energy efficient equipment such LED lighting, star rated Air-conditioners and other star rated equipment. We are also investing in building in-house waste management facilities to reduce the disposal outside our premises.



Disclosure Questions

P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
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On the Social front, we have robust practices to address issues such as human rights, human capital development and health & safety of our employees, contractors, and customers. We have introduced Online Grievance Redressal System for our employees. HAL is also certified for ISO 14001-2015 Environment Management System and ISO 45001-2018 OHSMS (Occupational Health and Safety Monitoring System).

On the Governance front, being a CPSE, we are compliant with the various rules, regulations, and best practices prescribed by local and national regulatory bodies and have robust governance mechanisms to address any related issues. Further, to enhance the better governance practices in the Company, various policies are implemented in the Company in letter and spirit.

Also, we are committed for ensuring sustainable environment and social practices across our supply chain and in the communities we serve.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility Policy (ies).

Director (Human Resources)

9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.

Yes, Concerned Directors / Committees

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Performance against above policies and follow up action																		
	Directors									As and when required.								
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances																		
	Complied except with respect to composition of the Board of Directors and its sub-committees (Audit Committee and Nomination & Remuneration Committee) under SEBI (LODR) Regulations, due to non-appointment of requisite numbers of Independent Directors.									As and when required								
	Since, the Company is a CPSE, the appointment of directors has to be made by the Govt. Hence, the matter has been referred to the Administrative Ministry for filling up the vacant posts.																	

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.

P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
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No



12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
The entity does not consider the Principles material to its business (Yes/No)									
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

Not Applicable

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

This section is aimed at helping entities demonstrate their performance in integrating the Principles and Core Elements with key processes and decisions. The information sought is categorized as "Essential" and "Leadership". While the essential indicators are expected to be disclosed by every entity that is mandated to file this Report, the leadership indicators may be voluntarily disclosed by entities which aspire to progress to a higher level in their quest to be socially, environmentally and ethically responsible.

PRINCIPLE 1

BUSINESSES SHOULD CONDUCT AND GOVERN THEMSELVES WITH INTEGRITY, AND IN A MANNER THAT IS ETHICAL, TRANSPARENT AND ACCOUNTABLE.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors		➤ Review of the Company's product and its processes including indigenization programme and quality assessment.	
Key Managerial Personnel	7	➤ Amendments in SEBI (LODR) Regulations, 2015 ➤ Internal Financial Controls ➤ Related Party Transactions (RPTs) ➤ Corporate Social Responsibility (CSR) ➤ Insolvency and Valuations	100
Employees other than BoD and KMPs	334 (For Officers)	(1) Training / Awareness Programme pertaining to CDA Rules, Safety & Wellness of the Employees, Leadership, Cyber Security, Industry 4.0, Quality Management, Lean Manufacturing, Environment & sustainability Concepts)	87%
Workers	119 (for Workmen)	(2) These trainings / awareness Programmes will enable the employees acquire knowledge / skills for enhancement of their capabilities.	89%



2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC Principle	Name of the regulatory / enforcement agencies / judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/Fine	Principle 1	NSE and BSE	23,600/-	Voting results were submitted to the Exchanges in pdf mode within the prescribed timeline. However, the same was not agreed quoting the requirement of filing the same in the XBRL mode.	No
Settlement	Principle 1	Recommendations of High level Committee headed by Commissioner of State Tax, Govt. of Maharashtra and subsequent introduction of Amnesty Scheme for PSU's by Govt. of Maharashtra.	2,471 Crore	High level Committee recommended out of court settlement of long-standing state tax disputes of HAL, Nasik Division with State Tax Deptt., Maharashtra. A sum of approx. ₹ 2,471 Crore was recommended for full and final payment against disputed amount of ₹ 10,079.44 Crore	No As the entire amount is reimbursable from IAF, there is no financial impact on the Company of this settlement.
Compounding fee	-	NIL	-	-	-

Non-Monetary				
	NGRBC Principle	Name of the regulatory / enforcement agencies / judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment	-	NIL	-	-
Punishment	-	NIL	-	-

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory / enforcement agencies / judicial institutions
Not Applicable	-

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, The Company believes in the conduct of the affairs of its constituents in a fair and transparent manner by adopting highest standards of professionalism, honesty, integrity and ethical behaviour. Towards this end, the Company has adopted the Code of Conduct, which lays down the principles and standards that should govern the actions of the Company and its employees. Accordingly, Whistle Blower Policy has been formulated in the Company with a view to provide a mechanism for employees of the Company for any potential violation of the code, to approach the Chairman of the Audit Committee / Director (HR) / Head of Systems Audit of the Company.



Web link of the policy is <https://hal-india.co.in/backend/wp-content/uploads/2023/07/Whistle-Blower-Policy-28.04.2025.pdf>

Further, integrity pacts are being signed with the vendors for procurement value beyond ₹ 5 Crore.

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2024-25	FY 2023-24
Directors	0	0
KMPs	0	0
Employees	0	0
Workers	0	0

6. Details of complaints with regard to conflict of interest:

	FY 2024-25		FY 2023-24	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	-	0	-
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	0	-	0	-

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions on cases of corruption and conflicts of interest.

Not Applicable

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2024-25	FY 2023-24
Number of days of accounts payables	94	94

9. Open-ness of business:

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2024-25	FY 2023-24
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	NIL*	NIL*
	b. Number of trading houses where purchases are made from	NA	NA
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	NA	NA
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	Nil	Nil
	b. Number of dealers / distributors to whom sales are made	NA	NA
	c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors	NA	NA



Parameter	Metrics	FY 2024-25	FY 2023-24
Share of RPTs in	a. Purchases(Purchases with related parties / Total Purchases)	0.46%	0.62%
	b. Sales (Sales to related parties / Total Sales)	0.10%	0.06%
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	0.82%	5.83%
	d. Investments (Investments in related parties / Total Investments made)	8.68%	8.05%

* **Note:** HAL material procurement is made through qualified suppliers, i.e., either directly through OEMs or their authorized distributor/stockiest.

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
46	Primarily our product category, technology requirement, etc. are deliberated in such meets. Even general requirement of extending facility to MSME such as Principle of inclusive growth is discussed. In respect of MSMEs, specifically as per directives of Ministry of MSME through MoD DDP, all units were asked to sensitize all MSME vendors having transactions with HAL, to get certified under Zero Defect Zero Effect (ZED) and Lean certification Schemes by Ministry of MSME. ZED is new sustainability with Quality of Production concept.	The indicated Awareness Program is done for engaging identifying new vendors. HAL itself implements sustainability concepts and try to incorporate or educate the same to value chain partners. For the existing domestic vendors including MSME's, as and when new improvements happen, major changes are implemented in the Company and special sessions are conducted to make them aware of such developments. For example: Transaction through TReDS Portal and now ZED are some of the major subjects in consideration during last year. For MSME vendors, special sessions were held w.r.t carrying out transaction on TReDS Portal and further sessions on Zero Defect Zero Effect (ZED) and Lean certification Schemes is under consideration with Ministry of MSME. These sessions are done periodically to bring in better awareness amongst domestic industries to take part in GoI initiatives on Quality and Sustainability. Approximately 42% of domestic vendors participated in programmes conducted for TReDS etc.

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

Yes, the Company has in place "Code for Business Conduct and Ethics for Board Members and Senior Management Personnel through which Company avoid/ manage conflict of interests. Furthermore, in case of conflict of interest situation arise, no interested director are allowed to participate in the decision making process.



PRINCIPLE 2

BUSINESSES SHOULD PROVIDE GOODS AND SERVICES IN A MANNER THAT IS SUSTAINABLE AND SAFE

Essential Indicators

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

	FY 2024-25	FY 2023-24	Details of improvements in environmental and social impacts
R&D	Not tracked	Not tracked	-
Capex	0.25% (₹ 509 Lakh)	0.006% (₹ 174 Lakh)	Roof top solar plants installed, energy efficient transformers, organic waste converters etc.

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No):

Yes.

HAL in all its tendering process incorporates clauses such as all rules and Policies of the land to be followed. HAL also ensure vendors to follow the ESI and other welfares measures for their employees.

- b. If yes, what percentage of inputs were sourced sustainably?

During the year, the Company has sourced 56% by value of procurement from such supply chain partner who have already adopted sustainability and Health and safety conditions and are certified for the same.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

The main products of the Company are Aircraft, Helicopters, Engines and other accessories for use in strategic/national security applications. Once the product is sold, it does not come back to the Company. Hence Company is not in a position to reclaim the products. However, HAL has a defined process in place for reuse, recycle and safe end-of-life disposal for the products used in its operations.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

No

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LC-P/LC-A) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

NIC Code	Name of Product /Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective / Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
-	-	-	-	-	-

No.

The main products of the Company are Aircraft, Helicopters, Engines and other accessories for use in strategic/national security applications. Once the products are sold, customer takes up life assessment / extensions as per their policies, in consultation with HAL.



2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LC-P/LC-A) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of Product / Service	Description of the risk / concern	Action Taken
-	-	-

Not Applicable

The main products of the Company are Aircraft, Helicopters, Engines and other accessories for use in strategic/national security applications. Once the products are sold, customer takes up life assessment / extensions as per their policies, in consultation with HAL. Disposal of products is taken up by Customers as per their policies.

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or Re-used input material to total material	
	FY 2024-25	FY 2023-24
-	-	-

Nil

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

	FY 2024-25			FY 2023-24		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	-	-	-	-	-	-
E-waste	-	-	-	-	-	-
Hazardous waste	-	-	-	-	-	-
Other waste	-	-	-	-	-	-

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
-	-

The main products of the Company are Aircraft, Helicopters, Engines and other accessories for use in strategic/national security applications. Once the products are sold, customer takes up disposal of products & packaging material as per their policies.



PRINCIPLE 3

BUSINESSES SHOULD RESPECT AND PROMOTE THE WELL-BEING OF ALL EMPLOYEES, INCLUDING THOSE IN THEIR VALUE CHAINS

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of Employees covered by										
	Total (A)	Health Insurance		Accident Insurance #		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B/A)	No. (C)	% (C/A)	No. (D)	% (D/A)	No. (E)	% (E/A)	No. (F)	% (F/A)
Permanent Employees											
Male	19954	100% Ref Note. (i)		19519	97.8%	NA	-	19954	100%	NA	-
Female	2079			1982	95.3%	2079	100%	NA	-	2079	100%
Total	22033			21501	97.6%	2079	9.4%	19954	90.6%	2079	9.4%
Other than Permanent Employees											
Male	1845	100% Ref. Note (ii)		1127	61.0%	NA	-	1845	100%	NA	-
Female	121			62	51.2%	121	100%	NA	-	121	100%
Total	1966			1189	60.5%	121	6.2%	1845	93.8%	121	6.2%

b. Details of measures for the well-being of workers:

Category	% of Workers covered by										
	Total (A)	Health Insurance		Accident Insurance #		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B/A)	No. (C)	% (C/A)	No. (D)	% (D/A)	No. (E)	% (E/A)	No. (F)	% (F/A)
Permanent Workers											
Male	13337	100% Ref Note. (i)		13229	99.2%	NA	-	13337	100%	NA	-
Female	1325			1292	97.5%	1325	100%	NA	-	1325	100%
Total	14662			14521	99.0%	1325	9.0%	13337	91.0%	1325	9.0%
Other than Permanent Workers											
Male	1834	100% Ref. Note (ii)		1123	61.2%	NA	-	1834	100%	NA	-
Female	113			61	53.9%	113	100%	NA	-	113	100%
Total	1947			1184	60.8%	113	5.8%	1834	94.2%	113	5.8%

Notes for 1 (a) & (b):

- (i) Medical needs of permanent employees / workers have been taken care by the Company Industrial Health Centers (IHC) set up in the Divisions / Offices. In case of specialized treatment, employees / workers are referred to empanelled Hospitals. Since medical needs of the permanent employees / workers have been taken care by the Company, no separate Health Insurance is taken.
- (ii) In respect of other than permanent workers (a) Management Trainees / Design Trainees : Medical facilities extended as at (i) above; (b) Tenure based : a lumpsum amount is paid every month to take care of the Medical needs and emergency care at Industrial Health Centers. Hence, no separate medical insurance is taken.

On voluntary basis and premium is borne by the employees.



- c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format –

	FY 2024-25	FY 2023-24
Cost incurred on well- being measures as a % of total revenue of the Company	0.55%	0.42%

2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY 2024-25			FY 2023-24		
	No. of employee covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Y	100%	100%	Y
Gratuity	100%	100%	NA	100%	100%	NA
ESI	Nil	Nil	NA	Nil	Nil	NA
Others –						
1. Defined Contribution Pension Scheme	100%	100%	Y	100%	100%	Y
2. Post Superannuation Group Health Insurance Schemes	100%	100%	NA	100%	100%	NA

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes

The web-link to the Policy is <https://hal-india.co.in/human-resources>

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	100%	100%
Female	100%	100%	100%	100%
Total	100%	100%	100%	100%



6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Yes
Other than Permanent Workers	Three Stage Grievance Procedure i.r. of Workmen exists in the Company. Upon exhausting all the 3 Stages, option is available to the Workmen for making petition to the General Manager, if not satisfied with the decision of the Grievance Redressal Committee. Thereafter, if not satisfied with the decision of the General Manager, option for preferring Appeal to the CEO/Director concerned through the Recognized Union also exists wherein the decision of the CEO/Director will be final.
Permanent Employees	Yes. In addition to the Grievance Procedure i.r. of Workmen as above, there also exists Grievance Procedure i.r. of Officers (upto Gr. VI) as indicated below:
Other than Permanent Employees	(i) Representing to the Dept. Head in the 1st Stage. (iii) Thereafter, representing to the Grievance Redressal Committee, wherein, based on the recommendations of the Committee, General Manager would communicate his decision. (iii) In exceptional cases, if not satisfied with the decision of the General Manager, the Officer concerned may appeal to the CEO / Director concerned, whose decision shall be final and binding on aggrieved officer.

Further, Employee Grievance Redressal Portal has been launched during the year for employees to submit their Grievances online.

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2024-25			FY 2023-24		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees/ workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Total Permanent Employees	22033	20944	95.06	22655	21636	95.50
- Male	19954	18977	95.10	20564	19651	95.56
- Female	2079	1967	94.61	2091	1985	94.93
Total Permanent Workers	14662	13945	95.11	15344	14578	95.01
- Male	13337	12662	94.94	13995	13283	94.91
- Female	1325	1283	96.83	1349	1295	96.00



8. Details of training given to employees and workers:

Category	FY 2024-25					FY 2023-24				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
	Employees									
Male	19954	13449	67.40	7597	38.07	20564	11385	55.36	7864	38.24
Female	2079	1472	70.80	570	27.41	2091	1252	59.88	778	37.21
Total	22033	14921	67.72	8167	37.07	22655	12637	55.78	8642	38.15
	Workers									
Male	13337	9305	69.77	7574	56.79	13995	7643	54.61	7526	53.78
Female	1325	938	70.79	570	43.02	1349	790	58.56	735	54.48
Total	14662	10243	69.86	8144	55.54	15344	8433	54.96	8261	53.84

9. Details of performance and career development reviews of employees and worker:

Category	FY 2024-25			FY 2023-24		
	Total (A) Total PARs (Including Probationary, Annual, Special, Split)	No. (B) Total Annual PARs	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees (officers)						
Male	5860	5084	86.76	6587	5165	78.41
Female	645	573	88.83	769	601	78.15
Total	6505	5657	86.96	7355	5766	78.38
Workers						
Male	13337			13995		
Female	1325			1349		
Total	14662			15344		

Notes:

The Total Number indicated in column (A) of part-I above (i.e. Employees (Officer)) refers to Performance Appraisal Reports (PARs) (including Annual, Probationary (Regular & Extended), Split, Special Reports) raised during the Year. 02 Nos. of Probationary PARs are raised for Officers under Probation.

The Company's Policy provides for conduct of Performance Review Board for moderation of Annual PARs. The numbers indicated in column (B) above refers to the total number of Annual PARs raised and the Numbers indicated in the Percentage column indicates the percentage against the total number of PARs (i.e. Annual, Probationary, Split, Special PARs together) raised.

In case of workers, the figures indicate the workers covered under the Performance Appraisal System for non-executives of the Company. Annual and Probationary Performance Appraisal Reports are raised for workers. However, no performance appraisal report is raised where-in the duration of service in the Assessment year is less than 03 months.



10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes. The Divisions are certified with ISO 45001:2018 (Occupational Health & Safety Management System). The scope of the system is "The Occupational Health activities and Supporting Processes associated with Design, Manufacturing, Maintenance, Repair and Overhaul of Aircrafts / Helicopters".

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

- The process of preparation of Safety Directory is used to identify and analyse hazardous areas/occupation and creating SOP for all such process;
- Walk Through Survey, Plant Safety Inspection, Hazard Identification and Risk Assessment (HIRA), Aspect & Impact Register, Complaints Registers, Internal Audits & External Audits and Conducting Safety Committee Meetings;
- Work related Hazards and Risk Assessment are carried out through Shop Floor Inspection by the respective Shop In-charge alongwith the Safety Officer.

c. Whether you have processes for workers to report the work related hazards and to remove themselves from such risks. (Y/N)

Yes. Complaint Registers are kept in the Shop Floor for reporting the work-related hazards.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category*	FY 2024-25	FY 2023-24
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.17	0.29
	Workers	0.2	0.36
Total recordable work-related injuries	Employees	12	15
	Workers	11	14
No. of fatalities	Employees	-	-
	Workers	1	2
High consequence work-related injury or ill-health (excluding fatalities)	Employees	-	-
	Workers	2	1

*Note:

- The numbers reported against Employees are total incidents covering all Officers, workmen and contract labours as per the definition of "Employees". Out of total numbers shown against Employees, Workmen numbers are shown separately against workmen category under LTIFR and total recordable work-related injuries.
- Note on fatalities, is as follows:

Labour engaged by an Outsourced Agency while he was loading the flower pots to Tractor Trailer, the Tractor was reversed unknowingly and hit the victim.

Steps taken for non-occurrence of such incidents, amongst others, includes providing reflective safety jacket to Housekeeping & Horticulture labour, Safety Marshals identified in the shops to create awareness among the workers and bring the unsafe acts, if any to the notice of Safety Officer, Safety Stewards included in the manpower contracts having more than 50 labour, etc.



12. Describe the measures taken by the entity to ensure a safe and healthy work place.

To establish a goal of zero accident, Divisions of the Company have carried out the following major activities during the year:

- (a) Regular Safety Inspection are being carried out to ensure safe working condition at work place. The observation are discussed and action is planned to take effective corrective and preventive action.
- (b) Divisions have Safety Work Permit System to ensure the contract workmen are safely performing the work.
- (c) Divisions have installed large-size LED screen for displaying various Safety & Health related topics to create an awareness.
- (d) Safety Visual Display System - Safety Sign Boards at prominent places in Offices and Shop Floor is displayed to create awareness on Safety.
- (e) Divisions are equipped with Occupational Health Center under the supervision of Medical Practitioner. OHC has a dedicated Ambulance for the Divisions.
- (f) Divisions have taken steps for removal of Hazardous & Non-Hazardous waste from the Division. The wastes are collected and sent out through authorized Vendor.
- (g) Divisions have identified certain critical Personal Protective Equipment's to be procured for the Health & Safety of the employee. These PPE's are best in class in terms of quality and safety of the employee.
- (h) The Divisions are carrying out Air Monitoring on monthly basis to analyze the quality of ambient air and stack which emits fumes from pollution sources.
- (i) Safety Day is being celebrated widely in the divisions to promote safety culture.
- (j) Divisions have taken measures to reduce the consumption of energy by changing over hanger lights from HPMV to LED.
- (k) Divisions have constructed Rain Water Harvesting to conserve water.
- (l) Periodical Medical Examination is carried out to monitor the Health of the employees.
- (m) The Divisions are equipped with Fire Alarm System for all the hangers along with Fire Hydrant System to protect from any fire emergency.
- (n) Daily walk-through survey.
- (o) Health & Safety Training to employees to create Awareness among all the employees including Contract Labour.
- (p) Conducting Fire Mock Drills on regular basis.
- (q) Display of Safety Posters, Safety Bulletins and messages via Intranet system to create awareness.
- (r) Testing of Tools & Tackles, Pressure vessels etc., by competent persons.
- (s) Conducting Safety Committee Meetings regularly.
- (t) Noise level survey.
- (u) Provision of good ventilation & lighting systems & Dust Extraction Systems.

13. Number of Complaints on the following made by employees and workers:

	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	2	2	-	5	1	-
Health & Safety	-	-	-	4	1	-



Out of 36 grievances received by Employees & Workers as indicated at General Disclosures, 2 are related to Working Conditions for FY 2024-25

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

Safety Walk / Audit, accident investigations are being carried out for further study and for improving of working conditions.

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

- Hazard identification and Risk Assessment is being carried out in each Department for identifying the hazards and implementing the mitigation plans or suitable controls are established;
- Safety Walk / Audit, accident investigations are being carried out for further study and for improving of working conditions;
- Awareness is given on wearing Personal Protective Equipment's (PPEs);
- Organized Safety Training Programmes to create awareness on Safety;
- Work Instructions and Safe Work Practices were made and readily available in the intranet for reference;
- Electrical safety Audit & Arc Flash Assessment were carried out;
- Implementation of Log Out & Tag Out (LO & TO);
- Personal Protective Equipment Assessment;
- Evaluation of Building Stability;
- Safety Barricades for the Electrical panel;
- Emergency exit stairs are provisioned in Commission building.
- Celebration of Health Day as part of Health Awareness Campaign viz. World Asthama Day, World No-Tobacco Day, World Hepatitis Day, World Alzheimer's Day, World Mental Health Day & World Cancer Day.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

- Employees (Y/N) – Yes.
- Workers (Y/N) – Yes

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The Bills of the value chain partners are cleared after ensuring remittance of applicable statutory dues to the concerned authorities by verifying deposit / remittance Challans submitted alongwith the Bills.



3. Provide the number of employees / workers having suffered high consequence work- related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Employees	-	-	-	-
Workers	3	3	1	-

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

Yes. Training Programs are conducted to retiring employees to provide financial planning for post superannuation.

5. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	77%
Working Condition	77%

All of HALs value chain partners come under relevant labour laws and acts. Central and State Governments labour Departments conduct periodic inspections related to health and safety practices and working conditions at the premise of value chain partners. Any deviations or anomalies identified are suitably addressed by partners.

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

Nil

PRINCIPLE 4:

BUSINESSES SHOULD RESPECT THE INTERESTS OF AND BE RESPONSIVE TO ALL ITS STAKEHOLDERS

1. Describe the processes for identifying key stakeholder groups of the entity.

The Company has robust system for identification of key stakeholders. Stakeholder engagement at HAL is an ongoing process wherein the Company interacts with its stakeholders at different levels to understand and address their expectations and collaborates with them for creating shared value. The Company has built a constructive relationship with all its stakeholders based on mutual trust, transparency, ethics and accountability. Continuous two-way dialogue process with stakeholders along with their feedbacks on various issues concerning the company's operations has enabled us to establish sustainable relationships with the stakeholders. Apart from Customers, Suppliers, Employees, Shareholders, Government, Regulatory & Statutory Bodies, Auditors, Bankers, Collaborators and JV Partners, all community members within 50 Kms radius from the location of the plant / Divisions of the Company are considered as key stakeholder of the Company.



2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/ others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Customers	No	Email, Letters, Meeting	Monthly, Quarterly, Half Yearly	Sorting out Technical & Logistic Issues
Vendors / Suppliers	No	Website, Emails HAL e-Portal GeM Portal	Against specific Tender Monthly.	Tender are hosted in Website. Summary report of Order Placed Nomination Procurement Procurement Plan for the interest of MSE vendors Procurement Plan for the interest of GeM vendors Open Tender available for Participating.
Shareholders	No	Website, Email, Letters, Meetings, Newspaper Publications, Annual Reports	As and when required	Shareholders meeting and Resolution of grievance
Employees	No	E-Newsletter	Monthly, Weekly, Occasionally and Fortnightly	Information on Company activities
Industry bodies, Regulators	No	Email, Letters, Meeting	As and when required	Ensure 100% compliance to all local laws
Auditors	No	Email, Letters, Meeting	Quarterly and Annual Audit	Audit
Governments; NGOs; local communities; media, industry analysts, society at large	No	As needed: Governance RFIs/ RFPs; presentations; project meetings; reviews; due diligence; calls and meetings; conferences and seminars; surveys; press releases; press conferences; media interviews and quotes; sponsored events, Analyst Meet	Monthly, Quarterly, Half Yearly	- Communicate HAL performance and strategy; - Share and contribute to insight into public and business concerns; - Discuss HAL response to responsible business issues.



Leadership indicators

- 1. Provide the processes for consultation between stakeholders and the board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the board.**

ESG priorities in the Company are driven from the uppermost level i.e., the Board of Directors. Board provides the strategic oversight and monitors the ESG progress. The Board of Directors has delegated the process of undertaking consultations with stakeholders to the management. The management of the Company actively engages with stakeholders through various platforms to ensure the feedback from stakeholders are incorporated on economic, environmental or social topics.

- 2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

Yes

- 3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.**

HAL has firm belief that every Corporate Entity must showcase its ability, resilience & enthusiasm for serving back to the Environment & Society. Accordingly, the Company continuously engaged with vulnerable/ marginalized stakeholder groups to address their concerns by way of implementing various projects under CSR based on need assessment. Some of the significant Activities / Projects undertaken by the Company for the benefit of the Society including vulnerable/ marginalized stakeholder groups, are as follows:

- ❖ Contribution of various Medical Equipments viz. CT Scanner, Heart-Lung Machine, Advanced Vestibular and Auditory Neuroscience facility, Laser proctology, Endoscopy, Colonoscopy, Dialysis machines etc., and also Basic / Advanced Life Support Ambulances to Government Hospitals / Institutions.
- ❖ Construction of Zilla Parishad School buildings, Smart Classrooms, Mid-day meal hall etc.,
- ❖ Free Education to the children with special needs from economically weaker sections of society.
- ❖ Health Screening camps for early detection of Cancer amongst Women; Malnutrition and Stunting among children, etc.
- ❖ Distribution of Assistive Devices and motorized tricycles to Divyangjans;
- ❖ Infrastructure development in Kasturba Gandhi Balika Vidyalayas (KGBVs);
- ❖ Construction of Libraries;
- ❖ Development of Rural infrastructure;
- ❖ Establishment of CNC Machining Centres at National Skill Training Institute (NSTI), Kanpur;
- ❖ Construction of Telangana State Welfare Residential School & Degree College for Girls at Medchal – Malkajgiri District, Telangana.



PRINCIPLE 5

BUSINESSES SHOULD RESPECT AND PROMOTE HUMAN RIGHTS

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. of employees / workers covered (B)	% (B / A)	Total (C)	No. of employees / workers covered (D)	% (D / C)
Employees						
Permanent	22033	743	3.09%	22655	865	3.63%
Other than permanent	1966			1111		
Total Employees	23999	743	3.09%	23766	865	3.63%
Workers						
Permanent	14662	238	1.43%	15344	330	2.02%
Other than permanent	1947			956		
Total Workers	16609	238	1.43%	16300	330	2.02%

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2024-25					FY 2023-24				
	Total (A)	Equal Minimum Wage		More than Minimum Wage		Total (D)	Equal Minimum Wage		More than Minimum Wage	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Permanent	22033	-	-	22033	100	22655	-	-	22655	100
Male	19954	-	-	19954	100	20564	-	-	20564	100
Female	2079	-	-	2079	100	2091	-	-	2091	100
Other than Permanent	1966	-	-	1966	100	1111	-	-	1111	100
Male	1845	-	-	1845	100	1044	-	-	1044	100
Female	121	-	-	121	100	67	-	-	67	100
Workers										
Permanent	14662	-	-	14662	100	15344	-	-	15344	100
Male	13337	-	-	13337	100	13995	-	-	13995	100
Female	1325	-	-	1325	100	1349	-	-	1349	100
Other than Permanent	1947	-	-	1947	100	956	-	-	956	100
Male	1834	-	-	1834	100	914	-	-	914	100
Female	113	-	-	113	100	42	-	-	42	100



3. Details of remuneration/salary/wages

a. Median remuneration / wages:

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category (in ₹)	Number	Median remuneration/ salary/ wages of respective category (in ₹)
(a) Board of Directors (BoD)				
Functional Directors	3	59,05,899	-	-
Govt. Nominee Director	2	-	-	-
Independent Director	1	-	-	-
(b) Key Managerial Personnel	4	56,85,724	-	-
(c) Employees other than BoD and KMP	21,795	19,29,572	2,200	18,92,993
(d) Workers	15,171	13,77,049	1,438	13,05,151

Note:

- Board of Directors and KMPs as on 31.03.2025 has been considered. Median salary arrived based on Salary & perquisite as per Section 17(1) & 17(2) of the Income Tax Act, 1961 for the year 2024-25.
- Key Managerial Personnel includes 3 Functional Directors and Company Secretary.
- Remuneration details of Board of Directors and KMPs are as covered under Corporate Governance Report, which is part of the Annual Report 2024-25.
- Government Nominee Director does not receive any remuneration from the Company.
- Independent Director receives the sitting fees for attending the meeting of Board and its Committees.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

	FY 2024-25	FY 2023-24
Gross wages paid to females as % of total wages	9.00%	8.99%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes, HR Heads of the Company and the respective Divisions of HAL are responsible.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Company has a robust grievance redressal system. Refer Q.No.6 under Principle-3. Contracts with value chain partners which involve deployment of labour include specific conditions towards health & safety, working hours, and remuneration. Company complies with applicable labour Laws and a compliance report is submitted by Heads of Divisions.

For contractual employees, the Engineer-in-Charge / Office-in-Charge / Dept. concerned handling the Contracts in the Divisions / Offices looks after issues related to remuneration, health & safety within the premises and working hours.

Further, Internal Complaints Committee under the provisions of Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, is constituted in the Divisions / Offices of HAL to deal with Complaints related to Sexual Harassment and conduct enquiries on such issues.



6. Number of Complaints on the following made by employees and workers:

	FY 2024-25			FY 2023-24		
	Filed during the year	Pending Resolution at the end of the year	Remarks	Filed during the year	Pending Resolution at the end of the year	Remarks
Sexual Harassment	5	2	-	1	0	-
Discrimination at Workplace	0	0	-	0	0	-
Child Labour	0	0	-	0	0	-
Forced Labour / Involuntary Labour	0	0	-	0	0	-
Wages	0	0	-	0	0	-
Other Human Rights related issues	0	0	-	0	0	-

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2024-25	FY 2023-24
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	5	1
Complaints on POSH as a % of female employees / workers	0.14%	0.03%
Complaints on POSH upheld	1	1

Note: Female Contract workforce engaged through Contractors are also taken into account for percentage calculation.

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

It is ensured that, no work related adverse consequences are meted out to the Complainant by placing the Complainant & Respondent in different work places, in case both were in the same work place. Moreover, the Complainant is encouraged to report any such incidences to the higher authorities for appropriate action.

9. Do human rights requirements form part of your business agreements and contracts?

(Yes/No)

HAL being a DPSU has to follow all rules and regulations set by the Government, Human rights requirements definitely form part of all of HALs business agreements and contracts.

10. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	100%. Internal Assessments have been carried out by the Entity and Other statutory authorities.
Forced/involuntary labour	
Sexual harassment	
Discrimination at workplace	
Wages	
Others – please specify	



11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

No violations were noticed.

Leadership Indicators

1. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	77%
Discrimination at workplace	77%
Child Labour	77%
Forced Labour/Involuntary Labour	77%
Wages	77%
Others – please specify	-

2. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 1 above.

NIL

PRINCIPLE 6:

BUSINESSES SHOULD RESPECT AND MAKE EFFORTS TO PROTECT AND RESTORE THE ENVIRONMENT

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format: -

Parameter	FY 2024-25	FY 2023-24
From renewable sources		
Total electricity consumption (A)	312,044 GJ	336,409 GJ
Total fuel consumption (B)	-	-
Energy consumption – through other sources (C)	-	-
Total energy consumed from renewable sources (A+B+C)	312,044 GJ	336,409 GJ
From non-renewable sources		
Total electricity consumption (D)	527,423 GJ	451,604 GJ
Total fuel consumption (E)	834,656 GJ	415,831 GJ
Energy consumption – through other sources (F)	-	-
Total energy consumed from non- renewable sources (D+E+F)	1,362,079 GJ	867,435 GJ
Total energy consumed (A+B+C+D+E+F)	1,674,123 GJ	1,203,844 GJ
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations)	54.04 GJ per ₹ Crore	39.63 GJ per ₹ Crore
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP)	91.67 GJ per Million USD	81.66 GJ per Million USD
Energy intensity in terms of physical output	-	-
Energy intensity per rupee of Value of Production (Total energy consumed / Value of Production)	44.37 GJ per ₹ Crore	39.97 GJ per ₹ Crore



Note:

- (a) Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency:

Yes, Sustainability Actions Pvt Ltd

- (b) The energy from fuels has been derived based on conversion factors in Table 1.2 of 2006 IPCC Guidelines for National Green House Gas Inventories.

- (c) The PPP adjusted revenue is derived based on the PPP rate published by IMF at <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

No

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in kilolitres)		
(i) Surface water	-	-
(ii) Groundwater	3,398,807	3,533,690
(iii) Third party water	11,278,126	9,957,210
(iv) Seawater / desalinated water	-	-
(v) Others	4,119	2,586
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	14,681,052	13,493,486
Total volume of water consumption (in kilolitres)	14,681,052	13,493,486
Water intensity per rupee of turnover (Total water consumption / Revenue from operations)	473.87 KL per ₹ Crore	444.14 KL per ₹ Crore
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)	803.93 KL per Million USD	915.31 KL per Million USD
Water intensity in terms of physical output	-	-
Water intensity per rupee of Value of Production (Total water consumption / Value of Production)	389.12 KL per ₹ Crore	448.02 KL per ₹ Crore

Note:

- (a) Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, Sustainability Actions Pvt Ltd

- (b) Data includes consumption of HAL Township.

- (c) The PPP adjusted revenue is derived based on the PPP rate published by IMF at <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>



4. Provide the following details related to water discharged:

Parameter	FY 2024-25	FY 2023-24
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(ii) To Groundwater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iii) To Seawater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third-parties		
- No treatment	56,629	66,257
- With treatment – please specify level of treatment	-	-
(v) Others		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	56,629	66,257

Note:

- (a) Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, Sustainability Actions Pvt Ltd.

- (b) All the production locations of HAL have captive STPs/ETPs for treating the waste/effluent water. The treated water is used for non-potable purposes and to some extent in process. Offices discharge the waste water to local utility for further treatment. The discharge is estimated assuming 80% of the water withdrawn reaches the treatment plants.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

HAL has made investments in effluent treatment plant with Zero Liquid discharge (ZLD) system.

STPs and ETPs have been installed at all our major production locations for treating waste water/effluent. The treated water is used for gardening and other non-potable uses.

HAL disposes used oil, e-waste and Hazardous waste such as ETP Sludge, Paint Sludge, Waste water soluble coolant, Used Grease, Oil soaked cotton waste through Pollution Control Board authorized agencies.



6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2024-25	FY 2023-24
NOx	Metric Tonnes	58.88	37.50
SOx	Metric Tonnes	31.28	17.27
Particulate matter (PM)	Metric Tonnes	139.05	96.67
Persistent Organic Pollutants (POP)	Metric Tonnes	-	-
Volatile Organic Compounds (VOC)	Metric Tonnes	-	-
Hazardous Air Pollutants (HAP)	Metric Tonnes	-	-
Others – (CO, Acid mist, alkali mist)	Metric Tonnes	10.86	8.58

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, Sustainability Actions Pvt Ltd

7. Provide details of Greenhouse Gas Emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	75,808	48,876
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	106,510	89,066
Total Scope 1 and Scope 2 emission intensity per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	Tons per ₹ Crore	5.88	4.54
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	Tons per Million USD	9.98	9.36
Total Scope 1 and Scope 2 emission intensity in terms of physical output		-	-
Total Scope 1 and Scope 2 emission intensity per rupee of Value of Production (Total Scope 1 and Scope 2 GHG emissions / Value of Production)	Tons per ₹ Crore	4.83	4.58

Note:

- a) Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, Sustainability Actions Pvt Ltd

- b) The Scope 1 emissions from fuel use have been derived based on conversion factors in Table 2.3 of 2006 IPCC Guidelines for National Greenhouse Gas Inventories.
- c) The Scope 2 emissions from electricity use have been derived based on conversion factor published by Central Electricity Authority Document Version 20.
- d) The PPP adjusted revenue is derived based on the PPP rate published by IMF at <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>



8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

HAL has made investments towards installation of energy efficient chillers / Air Conditioners and ceiling fans.

The Company also uses renewable energy for captive consumption at production sites. Details of the renewable energy are:

- ❖ **Rooftop solar:** HAL has installed a total of 8.42 MW capacity Rooftop based Solar Energy Systems, till date.
- ❖ **Ground mounted solar:** HAL has installed a total of 26.95 MW capacity Solar power plants, till date.
- ❖ **Wind Energy:** HAL has installed 14.7 MW capacity wind power plants in Karnataka.

9. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2024-25	FY 2023-24
Total Waste generated (in metric tonnes)		
Plastic waste (A)	30.54	7.24
E-waste (B)	17.48	15.96
Bio-medical waste (C)	26.37	25.66
Construction and demolition waste (D)	4,638.97	857.28
Battery waste (E)	55.02	34.99
Radioactive waste (F)	0	0
Other Hazardous waste. Please specify, if any. (G)		
(i) ETP/Paint/Magnesium sludge	63.71	57.53
(ii) Used Oil/Coolant oil (KL)	504.02	815.00
(iii) Waste residue containing oil	5.38	11.00
(iv) Spent hardening salt/grease/chemicals	18.55	7.75
(v) Others	194.61	641.98
Sub-total (G)	786.27	1,533.26
Other Non-hazardous waste generated (H) . Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)		
(i) Metal Scrap	1,585.18	806.68
(ii) Non-Metal Scrap	2,636.28	2,177.93
(iii) Mixed waste	8,510.15	5,601.62
Others (Cu.m)	-	-
Sub-total (H)	12,731.61	8,586.23
Total (A + B + C + D + E + F + G + H)	18,286.26	11,060.62
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations)	0.59 MT per ₹ Crore	0.36 MT per ₹ Crore
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)	1.00 MT per Million USD	0.75 MT per Million USD
Waste intensity in terms of physical output	-	-
Waste intensity per rupee of Value of Production (Total waste generated / Value of Production)	0.48 MT per ₹ Crore	0.37 MT per ₹ Crore



For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)

Category of waste (Plastic waste)		
(i) Recycled	2.14	0
(ii) Re-used	0	0
(iii) Other recovery operations	3.50	0
Total	5.64	0
Category of waste (E-waste)		
(i) Recycled	2.18	15.96
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	2.18	15.96
Category of waste (Bio-medical waste)		
(i) Recycled	0	0
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	0	0
Category of waste (Construction and demolition waste)		
(i) Recycled	0	0
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	0	0
Category of waste (Battery waste)		
(i) Recycled	13.75	13.75
(ii) Re-used	0	0
(iii) Other recovery operations	1.40	0
Total	15.15	13.75
Category of waste (Used/Coolant Oil)		
(i) Recycled (KL)	0	34.20
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total (KL)	0	34.20
Category of waste (Other Hazardous waste)		
(i) Recycled	0	0
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	0	0
Category of waste (Other Non-Hazardous waste)		
(i) Recycled	0	0
(ii) Re-used	0	0
(iii) Other recovery operations	0	0
Total	0	0



For each category of waste generated, total waste disposed by nature of disposal method (in Metric tonnes)

Category of waste (Plastic waste)

(i) Incineration	0	0
(ii) Landfilling	2.30	0.02
(iii) Other disposal operations	22.60	7.22
Total	24.90	7.24

Category of waste (E-waste)

(i) Incineration	0	0
(ii) Landfilling	0	0
(iii) Other disposal operations	15.30	0
Total	15.30	0

Category of waste (Bio-medical waste)

(i) Incineration	22.72	20.98
(ii) Landfilling	0	0.73
(iii) Other disposal operations	3.65	3.95
Total	26.37	25.66

Category of waste (Construction and demolition waste)

(i) Incineration	0	0
(ii) Landfilling	3,067.61	536.95
(iii) Other disposal operations	1,571.36	320.33
Total	4,638.97	857.28

Category of waste (Battery waste)

(i) Incineration	0	0
(ii) Landfilling	0	0
(iii) Other disposal operations	39.87	21.24
Total	39.87	21.24

Category of waste (Used/Coolant Oil)

(i) Incineration (KL)	38.80	20.00
(ii) Landfilling	0	0
(iii) Other disposal operations	465.22	760.80
Total (KL)	504.02	780.80

Category of waste (Other hazardous waste)

(i) Incineration	171.39	0
(ii) Landfilling	0	0
(iii) Other disposal operations	110.86	718.26
Total	282.25	718.26

Category of waste (Other Non-hazardous waste)

(i) Incineration	0	0
(ii) Landfilling	0	0
(iii) Other disposal operations	12,918.12	8,586.23
Total	12,918.12	8,586.23



For each category of waste generated, total waste disposed by nature of disposal method (in Metric tonnes)		
Category of waste (Other Non-hazardous waste)		
(i) Incineration	0	0
(ii) Landfilling	0	0
(iii) Other disposal operations (cu.m)	0	234
Total (cu.m)	0	234

Note:

- (a) Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)
If Yes, name of the external agency.

Yes, Sustainability Actions Pvt Ltd.

- (b) The various waste generated are disposed by auction/contractors. Hazardous waste is disposed through Pollution Control Board authorized agencies either for recycling/incineration/other disposal as per applicable waste management rules. Non-hazardous waste such as metal and non-metal scrap is disposed by auction through MSTC portal. Mixed waste consisting of municipal waste is disposed through local authorized agencies.
- (c) The PPP adjusted revenue is derived based on the PPP rate published by IMF at <https://www.imf.org/external/datamapper/PPPEX@WEO/OEMDC>

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

The Company has adopted a strong waste management system to meet the compliance with respect to local regulations. The well-established system is supporting our operations to properly segregate the waste at source & adopt the 3R concept to reduce, reuse & recycle. The waste generated within our premises is recycled through authorized recyclers and on-site composting machines (in facilities and residential establishments) and remaining waste is disposed through State Pollution Control Board approved landfill/incineration facilities.

HAL is governed by various Acts and Rules like the Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016, Solid Waste Management Rules, 2016, Air Prevention and Control of Pollution Act (1981), Environment (Protection) Act, 1986, Water (Prevention and Control of Pollution), Act 1974 etc.

All the Divisions are ISO 14001 certified and comply with the rules prescribed by respective State Pollution Control Boards. All emissions and waste generation is monitored as prescribed by the Pollution Control Boards.

Municipal Solid Waste (MSW) generated from Townships and Factories is segregated at source in Townships and Factories (Wet, Dry, Garden, Sanitary and Rejects). Through the process of Vermi-Composting, the Bio-degradable waste comprising of domestic waste and horticulture waste is being converted to manure. For better utilization of biodegradable waste generated from HAL Estates, the Company has installed Solid Waste Management Units like Organic Waste Converters and Bio Gas Plants at select places.

The Divisions which use and generate hazardous effluents such as chrome, acid/alkali, cyanide etc. have independent Effluent Treatment Plants (ETPs) for treatment.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Sl. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N). If no, the reasons thereof and corrective action taken, if any.
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HAL does not have any operations/ offices in/ around ecologically sensitive areas



12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
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NOT APPLICABLE

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment Protection Act and rules thereunder (Y/N).

Yes

If not, provide details of all such non-compliances, in the following format:

Sl. No.	Specify the law / regulation / guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
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NOT APPLICABLE

Leadership Indicators

1. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not Applicable

2. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

The risks related to business continuity and disaster management are covered as part of the Risk Management Policy. The policy is available at the following link: https://hal-india.co.in/backend/wp-content/uploads/2023/07/Risk_Management_Policy_20.pdf

3. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

HAL value chain partners have not reported any adverse impact to environment.

4. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

Analysis done based on Questionnaires on Environment Management System implementation and also certifications received by Supply Chain Partners based on the analysis, 55% by value follow environmental norms.

PRINCIPLE 7

BUSINESSES, WHEN ENGAGING IN INFLUENCING PUBLIC AND REGULATORY POLICY, SHOULD DO SO IN A MANNER THAT IS RESPONSIBLE AND TRANSPARENT

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

The Company has taken Corporate Membership with five (5) Nos. of trade and industry chambers/ associations.



- b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

Sl. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Federation of Indian Chambers of Commerce & Industry (FICCI)	National
2	The Associated Chambers of Commerce & Industry of India (ASSOCHAM India)	National
3	Confederation of Indian Industry (CII)	National
4	Engineering Export Promotion Council India (EPCCI)	National
5	Society of Indian Defence Manufacturers (SIDM)	National

2. Provide details of corrective action taken or underway on any issues related to anti- competitive conduct by the entity, based on adverse orders from regulatory authorities.

Name of authority	Brief of the case	Corrective action taken
Nil	Nil	Nil

Leadership Indicators

1. Details of public policy positions advocated by the entity: No

Sl. No.	Public resorted advocated	Method resorted for such advocacy	Whether information available in Public domain? (Yes / No)	Frequency of Review by Board (Annually / Half Yearly / Quarterly / Others Please specify)	Web Link, if available
-	-	-	-	-	-

PRINCIPLE 8

BUSINESSES SHOULD PROMOTE INCLUSIVE GROWTH AND EQUITABLE DEVELOPMENT

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
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NOT APPLICABLE

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Sl. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In INR)
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NOT APPLICABLE

3. Describe the mechanisms to receive and redress grievances of the community.

Complaint can be received through Public Grievance Portal (www.pgportal.gov.in)



4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

Parameter	FY 2024-25	FY 2023-24
Directly sourced from MSMEs / small Producers*	53%	44.53%
Directly from within India**	23%	20%

* The value of procurement made from MSMEs/Total Domestic Procurement

** Local material consumption/ Total material consumption.

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost.

Location	FY 2024-25	FY 2023-24
Rural	3%	3%
Semi-urban	22%	23%
Urban	2%	2%
Metropolitan	73%	72%

(Place to be categorized as per RBI Classification System - rural / semi-urban / urban / metropolitan)

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
NOT APPLICABLE	

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

Sl. No.	State	Aspirational District	Amount spent (₹ lakhs)
1	Odisha	Koraput	1,722.91
2	Jharkhand	Ranchi	308.00
3	Uttar Pradesh	Chitrakoot	67.44
4	Madhya Pradesh	Barwani, Khandwa	79.10
Total			2,177.45

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No)

Yes

Preferential procurement is mandated as per the Public Procurement Policy for Micro and Small enterprises (MSEs) order 2012 and its subsequent amendments from time to time as issued by Ministry of MSME, GoI.

(b) From which marginalized /vulnerable groups do you procure?

HAL procures from marginalized /vulnerable groups MSEs owned by Social Category (SC/ST) and MSE Companies owned by Women.



(c) What percentage of total procurement (by value) does it constitute?

Location	FY 2024-25	FY 2023-24
% Procurement Social Category (SC/ST) Entrepreneurs*	0.7%*	0.67%
% Procurement from Women Entrepreneurs**	3.63%**	3.34%

* The value of procurement made from SC/ST MSEs/Total Domestic Procurement

** The value of procurement made from Women MSEs/Total Domestic Procurement

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

Sl. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes / No)	Basis of calculating benefit share
1	Nil	No	No	NA

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Name of authority	Brief of the Case	Corrective action taken
-	-	-

6. Details of beneficiaries of CSR Projects:

The beneficiaries of CSR Projects for which the Impact Assessment was carried out during the year:

Sl. No.	CSR Project	No. of persons benefitted from CSR Projects (approx.)	% of beneficiaries from vulnerable and marginalized groups
1	Establishment of Additional Skill Development Labs at HAL-IISc SDC, Challakere, Chitradurga.	3000	60%
2	Establishment of Solar power Generation Plant at HAL- IISc SDC, Challakere, Chitradurga.	4500	60%
3	Contribution of medical equipment's to Central Sterile Service Department (CSSD), Institute of Gastroenterology Sciences and Organ Transplant, Bengaluru	60000	80%
4	Information and Communication Technology infrastructure for implementation of Digital Literacy in "Karnataka Residential Educational Institutions Society (KREIS) PU Colleges"	3000	85%
5	Establishment of Advanced Centre for Bio-Energy Research at University of Agricultural Science, Bangalore	1000	60%
6	Skill Development & Entrepreneurship Development program, Chikkaballapura, Kolar & Bengaluru	1000	65%
7	Imparting Education to children in and around Sunabeda, Koraput	1200	95%
8	Construction of Community Centre and Playground at Dande ka Purwa Village, Bidhnoo Block, Kanpur	5000	70%
9	Contribution of Medical Equipments to GSVM Govt. Hospital / Medical College, Kanpur	2000	65%
10	Contribution of underground Smart Bins and Compactor Vehicles to Nagar Nigam, Lucknow	75000	60%



Sl. No.	CSR Project	No. of persons benefitted from CSR Projects (approx.)	% of beneficiaries from vulnerable and marginalized groups
11	Vocational Skill Training through National Institute of Entrepreneurship & Small Business Development, Min. of Skill Development & Entrepreneurship	300	80%
12	Apprenticeship Training in different trades under CSR, Lucknow.	308	70%

Note: Beneficiaries are on daily basis [Sl.No. 4 &10]

PRINCIPLE 9

BUSINESSES SHOULD ENGAGE WITH AND PROVIDE VALUE TO THEIR CONSUMERS IN A RESPONSIBLE MANNER

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

Defence forces have a well-established, structured and periodic meetings for raising issues. Same is being followed and complied by HAL. These documents are treated as confidential by Defence forces. Internally, the issues are being monitored at Corporate level and a monthly updates on the same are being forwarded to the Customers.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	The main products of the Company are Aircraft, Helicopters, Engines and other accessories for use in strategic/national security applications. Hence, Not Applicable
Safe and responsible usage	100%
Recycling and/or safe disposal	The main products of the Company are Aircraft, Helicopters, Engines and other accessories for use in strategic/national security applications. Once the products are sold they would not come back to the Company. Hence not applicable.

HAL's products and services are supplied to Defence Services & usage by Customers are as per their guidelines.

3. Number of consumer complaints in respect of the following:

	FY 2024-25		Remarks	FY 2023-24		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	0	0	-	0	0	-
Advertising	0	0	-	0	0	-
Cyber-security	0	0	-	0	0	-
Delivery of essential services	158	0	-	197	0	The issues have been deliberated in structured meeting with Customers and have been attended
Restrictive Trade Practices	0	0	-	0	0	-
Unfair Trade Practices	0	0	-	0	0	-
Other	0	0	-	0	0	-



4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	Nil	NA
Forced recalls	Nil	NA

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes

https://hal-india.co.in/backend/wp-content/uploads/2023/03/Cyber_Security_Policy.pdf

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

HAL's customers being the Defence Forces, the information is confidential.

7. Provide the following information relating to data breaches:

- Number of instances of data breaches :** Nil
- Percentage of data breaches involving personally identifiable information of customers:** Not Applicable
- Impact, if any, of the data breaches:** Not Applicable

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

Information on products and services are available at HAL website www.hal-india.co.in

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

The main products of the Company are Aircraft, Helicopters, Engines and other accessories for use in strategic/national security applications by Indian Armed Forces. HAL provides training and all the necessary documents pertaining to all products of the Company to Customers.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

The main products of the Company are Aircraft, Helicopters, Engines and other accessories for use in strategic/national security applications by Indian Armed Forces. HAL is committed to provide support to Indian Armed Forces till our product is in service.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

NA